

market performance to influence this important and irreversible decision. That is recency bias in action.

Research from Jeffrey Brown at the University of Illinois illustrates how the framing of lifetime income can lead to different answers. His research team surveyed more than 1,300 people aged fifty and older and asked them to choose between (1) a life annuity paying \$650 each month until death, and (2) a traditional savings account of \$100,000 bearing 4 percent interest. These choices are designed to support the same lifetime income after incorporating life expectancies, but the annuity choice in option 1 was expressed in two different ways. With a “consumption frame,” option 1 was described as a monthly income of \$650 for life. With an “investment frame,” option 1 was described as an investment with a \$650 return for life. When expressed in terms of consumption, 70 percent of respondents preferred the annuity. But when expressed as an investment, only 21 percent of respondents choose the annuity. Both versions of the question offer the same returns, but the answers elicited differ greatly. Framing an annuity as an investment makes people worry they will die early and “lose” on their investment. When expressed as lifetime consumption, the annuity option sounds less risky and more attractive.

Further research from Professor John Payne at Duke University (see the Schlomo Benartzi article for further reading) demonstrates how retirees gravitate toward options that are easier to understand. He cites how retirees may choose single-life annuities because they offer higher monthly income than joint-life annuities without fully reflecting on the potential impact for spouses. I have also observed this problem with complex annuities like variable annuities with guarantee riders. Retirees frequently misinterpret the roll-up rates offered for the benefit base as a guaranteed return for their money. They may not realize that when this higher hypothetical return number is combined with a lower payout rate later on, the combined outcome may actually leave them worse off. It’s important to dig beyond the marquee numbers jumping out of the marketing literature and reflect on what is truly happening when all variables and levers are combined into a cohesive whole.